

cause of action for resulting trust. (MPA ISO Demurrer, p. 3:4-26; Reply, pp. 1:10-2:20.) They argue that there is no shared intent to create a resulting trust in this matter and that Cross-Defendants had no such intent. (MPA ISO Demurrer, p. 3.) They argue that Cross-Complainant's name is on the title, which means that she does not qualify for a resulting trust to be created. (*Ibid.*) Cross-Complainant argues that she has properly pled a cause of action for a resulting trust. (Opposition, pp. 7-8.)

"Ordinarily a resulting trust arises in favor of the payor of the purchase price of the property where the purchase price, or a part thereof, is paid by one person and the title is taken in the name of another." (*Martin v. Kehl* (1983) 145 Cal.App.3d 228, 238.) Here, the Cross-Complaint alleges that Cross-Complainant and Gomez made payments towards the purchase price of the Property. (Cross-Complaint, ¶¶ 9-11, 15, 16, 17.) The Cross-Complaint also alleges that neither Cuevas nor Villa, made any financial contributions towards the down payment, purchase price, or any other expense related to the Property, but that they were put on the title "solely to assist with financing" and that there was no intent for them to hold any legal, equitable, or beneficial interest in the Property. (*Id.*, at ¶¶ 13-14.) These allegations satisfy the requirements that the purchase price, or part thereof, is paid by one person and the title is taken in the name of another. When these allegations are combined with the maxim that "at the demurrer stage the complaint must be construed in the light most favorable to the plaintiff," the court finds that a resulting trust has been sufficiently pled, at least with respect to Cross-Defendants Cuevas and Villa. (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

However, with respect to Cross-Defendant Gomez, the Court finds that the Cross-Complaint is not sufficiently pled. The Cross-Complaint asserts a claim for resulting trust against Gomez, but he contributed money towards the Property's down payment and paid towards the monthly mortgage payments, making him a payor of the purchase price of the Property, which is a characteristic of those who a resulting trust typically arises in favor of. (Cross-Complaint, ¶¶ 11, 15, 16; *Martin v. Kehl* (1983) 145 Cal.App.3d 228, 238.) Further, the Cross-Complaint does not allege that there was no intent for Gomez to hold any legal, equitable, or beneficial interest in the Property. Thus, neither prong required for a resulting trust is satisfied as to Gomez and the cause of action for resulting trust against him is not sufficiently pleaded.

Ruling

Cross-Defendants' demurrer to the Cross-Complaint's claim for imposition of a resulting trust is **OVERRULED** as to Cross-Defendants Cuevas and Villa and is **SUSTAINED** as to Cross-Defendant Gomez, with leave to amend. Cross-Complainant may file and serve an amended complaint within 20 days of notice of entry of this order. (Code Civ. Proc. § 472b; CRC, rule 3.1320(g).)

18. 9:00 AM CASE NUMBER: C25-03757

CASE NAME: CATHAY BANK, VS. CHRISTINA SEELYE

HEARING IN RE: APPLICATION FOR RIGHT TO ATTACH ORDER, ISSUANCE OF WRIT AFTER HEARING AS TO CHRISTINA SEELYE

FILED BY: CATHAY BANK

TENTATIVE RULING:

Plaintiff Cathay Bank's Application for a Writ of Attachment and Right to Attach Order is **granted**. The

amount to be secured is \$2,454,662.38, consisting of \$2,426,813.38 in principal and accrued interest, \$24,848.99 in estimated attorney fees, and \$3,000 in estimated costs. The Bank shall post an undertaking of \$10,000 before any writ shall issue.

Background and Procedural History

Plaintiff Cathay Bank (the "Bank") is a California banking corporation. Defendant Christina Seelye is the former CEO and a manager of Maximum Entertainment, LLC (formerly Maximum Games, LLC). Seelye co-founded the company in 2009 and served as CEO until her termination on October 1, 2024. (Seelye Decl. ¶¶ 2-3, 18.) Before the company's 2021 acquisition by Maximum Entertainment AB (the "Parent Company"), Seelye owned an 80% equity interest. (Seelye Decl. ¶ 5.) After the acquisition, Seelye retained her CEO role but held no equity in the borrower itself and only a 10% minority interest in the Parent Company. (Seelye Decl. ¶ 16.)

The Bank made two loans to Maximum Entertainment that are relevant here. The first was a revolving line of credit with a maximum principal of \$8 million ("RLOC"), governed by an Amended and Restated Loan and Security Agreement dated April 29, 2022, and extended via several amendments. (Scheiber Decl. ¶¶ 4-8, Exhs. 1-5, 7.) The fourth amendment, dated April 24, 2024, set the final loan maturity date as February 28, 2025. (Scheiber Decl. ¶ 8, Exh. 7.) The second was a \$3 million term loan made the same day, governed by its own Loan and Security Agreement and Promissory Note ("Term Loan"). (Scheiber Decl. ¶ 12, Exhs. 8-9.) The loans are cross defaulted in that Section 10.1(r) of the Term Loan Agreement defines an "Event of Default" to include any breach by Maximum Entertainment of any other obligation to the Bank, and Section 10.2(b) allows the Bank to accelerate the Term Loan on any Event of Default. (Scheiber Decl. ¶ 13, Ex. 8.) The Term Loan Agreement also defines an Event of Default to include Seelye ceasing to serve as CE and contains a severability clause at Section 11.5. (Scheiber Decl. ¶¶ 12-13, Exh. 8, § 10.1(t).) Seelye signed all of these documents as a representative of Maximum Entertainment. (Scheiber Decl. ¶¶ 10, 15.)

Seelye also signed a personal guaranty dated April 24, 2024 (the "Guaranty"), guaranteeing Maximum Entertainment's obligations under the Term Loan. (Scheiber Decl. ¶ 17, Ex. 10.) The Guaranty is unsecured. (Scheiber Decl. ¶ 17.) Section 6 contains waivers of Seelye's rights under Civil Code §§ 2787-2855, including her rights to require the Bank to proceed first against the borrower, or against any security for the term loan. (MPA at 7; Scheiber Decl. ¶ 17, Exh. 10, Sec. 6.)

What the Bank said about the effect of the Guaranty before Seelye signed it is disputed. On April 9, 2024, Maximum Entertainment's then-COO Thierry Bonnefoi emailed Cathay Bank Senior Vice President and Manager Jane Ho, recounting their prior day's conversation and asking three times for confirmation that the Guaranty would be waived if Seelye stopped being CEO.

What we discussed yesterday was that the personal guarantee would be waived if Christina is no longer the CEO. Is it what you are proposing? . . . Can you confirm my understanding that the guarantee will end with Christina's employment?

(Seelye Decl. ¶ 23, Exh. 1.)

On April 10, 2024, Ho replied without answering that question directly. Instead, she wrote the following:

Our Credit Officer wants to add the condition that term loan will become due immediately if Christina is no longer the CEO and guarantor. Key Management changes are considered a major business event and Christina is the key person we have trust on her capability and leadership. The legal process (assuming Christina is no longer the CEO) is we will demand the term loan to be paid off. If ME rejects to do so, we can call loan in default.

(Seelye Decl. ¶ 24, Exh. 2.)

Seelye argues she reasonably and detrimentally relied on these communications to understand that her guaranty would terminate with her employment. (Seelye Decl. ¶ 25.) She points to the Parent Company's April 24, 2024 board minutes, which recite the following:

Mrs. Seelye gives a personal guarantee to secure the loan as long as she is the CEO of the company, and that the loan be repaid immediately in the event Mrs. Seelye leaves the company for any reason.

(Seelye Decl. ¶ 26, Exh. 3.)

The Bank's officer Ho, in a declaration submitted with the Bank's reply brief, describes the same exchange differently. Ho states that in a phone call preceding the emails she told Bonnefoi she would ask senior bank management to release the Guaranty if Seelye ceased being CEO but gave no assurance that the Bank would approve such a request. (Ho Decl. ¶ 2.) Ho also states that after her emails she sent the "final approved term sheet," which provided:

Personal guarantee of Christina Seelye is required for the new term loan. Term loan to become immediately due and payable in the event Christina Seelye is not [sic] longer CEO of the Company and requests the release of her personal guaranty.

(Ho Decl. ¶¶ 2-3, Ex. 1.)

Bonnefoi's declaration submitted with the sur-reply states he was led to believe the Bank would honor a release request. (Bonnefoi Decl. ¶ 6.)

On October 1, 2024, Seelye emailed Ho the following:

Maximum Entertainment terminated my employment as CEO today. As a result, I am no longer able to provide a personal guarantee on the term loan with Maximum Entertainment LLC.

(Ho Decl. ¶¶ 4-5, Ex. 2.)

Ho replied the same day, copying Bonnefoi, that it would "be difficult for me to request removal" and that "[m]ost likely our Credit Officer will ask for early payoff on the term loan in order to remove your guarantee." (Ho Decl. ¶¶ 4-5, Exh. 2.) Two days later Bonnefoi emailed Ho asking how to "get Christina off the hook on the guaranty." (Ho Decl. ¶ 5, Ex. 2.) The Bank declined to release Seelye. (Ho Decl. ¶

6.) Seelye claims that after her termination she had no authority to manage or control the borrower's operations or to take any action to prevent or cure a default. (Seelye Decl. ¶¶ 19-20, 27-29.)

Maximum Entertainment failed to repay the RLOC by February 28, 2025, the final RLOC maturity date. (Scheiber Decl. ¶ 19.) On March 27, 2025, the Bank sent a notice declaring an Event of Default under the term loan based on the RLOC cross-default, accelerating the term loan balance, and imposing default interest. (Scheiber Decl. ¶ 20, Ex. 11.) Notably, it did not declare default based on Seelye ceasing to serve as CEO. (Scheiber Decl. ¶¶ 19-20; Supp. Scheiber Decl. ¶ 3.)

After the default notice, Seelye and the Bank signed a Pre-Negotiation Agreement (the "PNA") dated September 2, 2025, in which Seelye agreed that the "Loan Documents [defined to include the Term Loan Guaranty] remain unmodified and are in full force and effect" and that she was "bound to continue to pay and perform her obligations." (Supp. Scheiber Decl. ¶ 4, Ex. 1.) The Bank raised the PNA for the first time in its reply. Seelye filed a sur-reply in which she contends that she signed the PNA under duress because the Bank's David Scheiber refused to discuss any resolution of the default until she signed. She also states the Bank gave her no opportunity to consult counsel before signing. (Seelye Supp. Decl. ¶¶ 2-5.) Seelye states that the duress question "does not need to be decided by the Court at this time" and indicates she will develop the argument in opposition to the Bank's pending motion to compel judicial reference. (Sur-Reply at pp. 2-3 & n.1.)

As of January 7, 2026, the Bank claims it is owed \$2,426,813.38, consisting of \$2,249,899.42 in principal and \$176,913.97 in accrued interest, exclusive of attorney fees and costs. (Scheiber Decl. ¶ 24, Exhs. 14-15.)

Seelye holds title to a residence at 108 Greenbank Drive, Lafayette, in her capacity as trustee of the Seelye Family Trust, which is revocable. (Scheiber Decl. ¶ 21, Ex. 12.) Seelye claims the residence is community property held with her husband, who is not a party to the action. (Seelye Decl. ¶ 40.) The Bank seeks to attach the residence and any other assets within the categories listed in Code of Civil Procedure section 487.010(c).

Seelye filed a claim of exemption on the AT-155 Judicial Council form together with her opposition. The claim invokes three statutory grounds for exempting the residence: § 703.020 (residence is community property and her spouse is not a debtor), § 487.020(b) (property which is necessary for the support of the defendant and family), and the homestead exemption. (Claim of Exemption ("COE"), AT-155, ¶ 4(c)(1), (2), (5).) The claim describes the property as Seelye's "family residence" but does not attach a financial statement substantiating property value, encumbrances, or containing "necessary for support" facts. In lieu of attaching a fully completed financial statement, the claim asserts that Seelye "cannot attach a financial statement publicly because she is in negotiations and litigation with Borrower but is willing to provide financial information for in camera review by the Court." (COE, AT-155, ¶ 4(c)(2).) (Seelye's claim of exemption identifies the homestead exemption as "CCP 704.020," which appears to be in error. Section 704.020 is the household furnishings and personal effects exemption, while the homestead exemption is found in sections 704.710-704.730. The Court construes Seelye's claim as one made under sections 704.710-704.730, consistent with the

manner in which the Bank's opposition treats the claim.)

The Bank filed the complaint in this action on December 22, 2025, in which it asserts a single cause of action for breach of guaranty. It filed the present Application Writ of Attachment and for Right to Attach Order ("Application") on January 15, 2026, and served Seelye on January 22, 2026. (Bank's Opp. to COE, p. 2, n.1.) Seelye appeared on March 20, 2026, when she filed a demurrer to the complaint, which is set for hearing on September 9, 2026. Seelye filed her opposition and claim of exemption on May 6, 2026. The Bank filed its reply on May 11, 2026, accompanied by a supplemental declaration from David Scheiber, a declaration from Jane Ho, and evidentiary objections to Seelye's declaration. The Bank separately filed a written opposition to Seelye's COE on the same day. On May 20, 2026, Seelye filed a request to file a sur-reply with her own supplemental declaration and a declaration from Bonnefoi, or alternatively to present those arguments and evidence at the hearing. The hearing, originally set for May 13, 2026, was continued on the Court's motion to May 27, 2026.

The Bank filed a separate suit against the borrower in Los Angeles Superior Court (*Cathay Bank v. Maximum Entertainment, LLC*, No. 26STCV12508) on April 14, 2026, and filed a Notice of Related Case in this action on April 22, 2026. (Vega Decl. ¶¶ 3-4, Exhs. 4-5.)

Law of Attachment

"Attachment is a prejudgment remedy that allows a creditor to have a lien on the debtor's assets until final adjudication of the claim sued upon." (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2020) 19:853, p. 9(11)-113.) Determinations made in attachment proceedings "shall not be given in evidence nor referred to at the trial." (Code Civ. Proc. § 484.100.)

A party applying for a right to attach order and writ of attachment (Code Civ. Proc. § 484.010) bears the burden of establishing four elements: (1) its claim is for money "based upon contract, express or implied" (§ 483.010(a)); (2) its claim is "probably valid" (§ 484.050, subd. (b)); (3) the attachment is sought for a proper purpose, i.e., "recovery on the claim" rather than harassment (§ 484.090(a)(3)); and (4) the amount to be secured is "readily ascertainable" and greater than \$500 (§ 483.010(a)). (See *Goldstein v. Barak Construction* (2008) 164 Cal.App.4th 845, 852.)

Probable validity means "it is more likely than not that the plaintiff will obtain a judgment against the defendant on that claim." (Code Civ. Proc. § 481.190.) Probable validity findings are often based on disputed findings of fact and reviewed for substantial evidence. (*Santa Clara Waste Water Co. v. Allied World National Assurance Co.* (2017) 18 Cal.App.5th 881, 885.)

If attachment is sought against a "natural person," the applicant also must demonstrate the contract claim arises out of the individual's "trade, business, or profession." (Code Civ. Proc. § 483.010(c).)

The amount to be secured by the attachment is the sum of (1) the amount of the defendant's indebtedness claimed by the plaintiff, and (2) any additional amount included by the court for estimate of costs and any allowable attorneys' fees under Code of Civil Procedure section 482.110. (Code Civ. Proc. § 483.015(a); *Goldstein v. Barak Construction*, supra, 164 Cal.App.4th at 852.) This amount must be reduced by the sum of (1) the amount of indebtedness that the defendant has in a

money judgment against plaintiff, (2) the amount claimed in a cross-complaint or affirmative defense and shown would be subject to attachment against the plaintiff, and (3) the value of any security interest held by the plaintiff in the defendant's property, together with the amount by which the acts of the plaintiff (or a prior holder of the security interest) have decreased that security interest's value. (Code Civ. Proc. § 483.015(b).) A defendant claiming that the amount to be secured should be reduced because of a cross claim or affirmative defense must make a prima facie showing that the claim would result in an attachment against the plaintiff.

The court "shall issue a right to attach order" if the moving party establishes each required showing. (Code Civ. Proc. § 484.090(a).) "If the right to attach order is issued, a writ of attachment will be issued to attach the property described in the plaintiffs application unless the court determines that such property is exempt from attachment or that its value clearly exceeds the amount necessary to satisfy the amount to be secured by the attachment." (*Id.* § 484.050(d).)

Before the issuance of a writ of attachment, the plaintiff is required to file an undertaking to pay the defendant any amount the defendant may recover for any wrongful attachment by the plaintiff in the action. (Code Civ. Proc. § 489.210.) The undertaking ordinarily is \$10,000. (*Id.* § 489.220.) If the defendant objects, the court may increase the amount of undertaking to the amount determined as the probable recovery for wrongful attachment. (*Id.* § 489.220.)

A. Procedural Matters

Seelye's Request to File a Sur-Reply

As a preliminary matter, the Court addresses Seelye's May 20, 2026 request for leave to file a sur-reply and to submit a supplemental declaration from Seelye and a declaration from Thierry Bonnefoi.

The Bank's reply, filed May 11, 2026, introduced new evidence not submitted with the original Application. The reply attached the PNA and a supplemental declaration from David Scheiber discussing it, along with a declaration from Jane Ho describing pre-signing and post-termination communications with Seelye and Bonnefoi, and a supplemental statement from Scheiber regarding the reasons for Seelye's termination. The Bank uses this new evidence to advance arguments not made in its moving papers, including that the PNA estops Seelye from contesting the enforceability of the Term Loan Guaranty.

Generally, new evidence and arguments raised for the first time on reply are improper because the opposing party lacks an opportunity to respond. (See *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-38.) Where a moving party does introduce such material on reply, the court has discretion to disregard it, or to permit a sur-reply so the opposing party may respond. Permitting a sur-reply is the appropriate course here as it promotes resolution on a complete record.

The Court therefore **grants** Seelye's request and considers the sur-reply and supporting materials.

Evidentiary Matters

Seelye's May 11, 2026 objections to the Declaration of Jane Ho and Supplemental Declaration of David

Scheiber in support of reply are **overruled**.

Cathay Bank's May 11, 2026 objections to the Declaration of Christine Seelye are **sustained** as to paragraphs 21-22 (foundation), 25 (improper opinion as to "reasonably"), 33 (hearsay), 34-35 (hearsay and lack of personal knowledge), 39 (foundation), and 41 (improper opinion as to "unjust under the circumstances"). The remaining objections are **overruled**.

B. Money Claim, Amount to be Secured, and Trade or Business

The Bank's claim is for money based on the Term Loan Guaranty, a written contract dated April 24, 2024, in which Seelye unconditionally guaranteed Maximum Entertainment's obligations under the term loan. (Scheiber Decl. ¶ 17, Exh. 10; see Civ. Code § 2837 [guaranty is a contract].) The amount sought is \$2,426,813.38, consisting of \$2,249,899.42 in principal and \$176,913.97 in accrued interest as of January 7, 2026, all readily ascertainable. (Scheiber Decl. ¶ 24, Exhs. 14-15.) Seelye does not dispute the calculation. The amount to be secured, including \$24,848.99 in estimated attorneys' fees and \$3,000 in estimated costs under the Guaranty's fee-shifting provision, is \$2,454,662.38. (Scheiber Decl. ¶¶ 17, 27-28, Exh. 10 [Guaranty ¶¶ 3, 21].) Code of Civil Procedure section 483.015(a) authorizes inclusion of fees and costs in the amount secured; the estimates are reasonable and unchallenged.

Because Seelye is a natural person, the Bank must also show its claim arises from her conduct of a trade, business, or profession. (Code Civ. Proc. § 483.010(c).) To obtain a right to attach order against a guarantor, the plaintiff must show that the defendant's guarantee of an entity's debt sued upon "is part and parcel of an activity which occupies the time, attention and effort of the guarantor[s] for the purpose of livelihood or profit on a continuing basis." (*Advance Transformer Co. v. Superior Court* (1974) 44 Cal.App.3d 127, 144.)

When Seelye signed the Guaranty, she was the borrower's CEO and a manager with authority to borrow money and otherwise act on the company's behalf. (Scheiber Decl. ¶¶ 10, 15, 29-32.) Her 2023 federal tax return reflects \$582,009 in wages from Maximum Entertainment, and her personal financial statement shows an ownership interest in the parent corporation. (Scheiber Decl. ¶¶ 29-32.) Seelye notes that by April 2024 she held no direct equity in the borrower and only a 10% minority stake in the parent. (Opp. at 3; Seelye Decl. ¶ 16.) Here, the Court finds that Seelye's CEO role, her annual wages from the borrower, and her parent-company equity together satisfy the *Advance Transformer* test.

C. Probable Validity

A claim has probable validity when it is more likely than not that the plaintiff will prevail on its claim. (Code Civ. Proc. § 481.190; *Kemp Bros. Construction, Inc. v. Titan Electric Corp.* (2007) 146 Cal.App.4th 1474, 1476.) To make that determination, the court considers "the relative merits of the positions of the respective parties and make[s] a determination of the probable outcome of the litigation." (*Loeb & Loeb v. Beverly Glen Music, Inc.* (1986) 166 Cal.App.3d 1110, 1120; *Kemp Bros.*, *supra*, 146 Cal.App.4th at pp. 1481-1482.)

1. The Bank's prima facie case for breach of guaranty

The elements of a breach of guaranty claim are (1) a valid guaranty, (2) default by the principal obligor, and (3) the guarantor's failure to perform under the guaranty. (*Gray1 CPB, LLC v. Kolokotronis* (2011) 202 Cal.App.4th 480, 486.) Each element is established on the record.

The first element is satisfied by the Term Loan Guaranty. The Guaranty is a written agreement dated April 24, 2024, signed by Seelye personally, in which she "unconditionally guaranteed and agreed to pay to the Bank, on demand, all amounts owed under the Term Loan." (Scheiber Decl. ¶ 17, Exh. 10.) The document is on its face a personal guaranty given to induce the Bank to make the term loan to Maximum Entertainment. Seelye challenges the Guaranty's enforceability but does not dispute that she signed it or that it bears her signature.

To the extent Seelye suggests in her opposition that she signed the Guaranty "in her capacity as the Borrower's CEO and Manager" rather than personally (Opp. at 8), the argument is unpersuasive. By its terms, the Guaranty is a personal undertaking. Its operative language ("Guarantor unconditionally guaranteed and agreed to pay") and its purpose (to induce the Bank to extend credit to a corporate borrower) make sense only if Seelye assumed personal liability. If Seelye signed solely in a representative capacity, the Guaranty would add nothing to the borrower's existing obligations and would render the Guaranty effectively meaningless. (See *Sebastian Int'l v. Peck* (1987) 195 Cal.App.3d 803, 809 [rejecting claim that corporate officer signed guaranty only in representative capacity where such interpretation would render guaranty a nullity].) Seelye identifies no language in the Guaranty supporting her interpretation and no evidence, other than the fact that she separately executed the loan documents on the borrower's behalf, that the parties intended the Guaranty to be anything other than a personal obligation.

The second element is also undisputed. Maximum Entertainment failed to repay the RLOC by its February 28, 2025 final maturity date. (Scheiber Decl. ¶ 19.) That non-payment constituted an Event of Default under the RLOC loan documents and, through the cross-default provision in § 10.1(r) of the Term Loan Agreement, also constituted an Event of Default under the Term Loan. (Scheiber Decl. ¶¶ 13, 19, Exh. 8.) Section 10.2(b) of the Term Loan Agreement allows the Bank to accelerate the term loan on any Event of Default. (Scheiber Decl. ¶ 13, Exh. 8.) The Bank exercised that right by written notice dated March 27, 2025, accelerating the full balance and imposing the default rate. (Scheiber Decl. ¶ 20, Exh. 11.) Seelye does not dispute that the RLOC was unpaid, that the cross-default provision was triggered, or that the Bank gave proper notice of acceleration. She observes that the Bank had "previously routinely extended the maturity date of the RLOC" (Opp. at 5), but offers no theory under which prior extensions created any obligation to extend further.

The third element is established by Seelye's non-payment. Under Civil Code section 2807, a guarantor "who has assumed liability for payment or performance is liable to the creditor immediately upon the default of the principal, and without demand or notice." Once Maximum Entertainment defaulted and the Bank accelerated, Seelye's payment obligation became due.

The Bank's prima facie case is therefore complete and largely uncontested at the operative level. The

contested ground concerns whether one or more defenses defeat the enforceability of the Guaranty as written.

2. The key person default provision

Seelye argues that the Term Loan Agreement provision defining "Events of Default" to include her ceasing to serve as Borrower's CEO is void as against public policy under the restraint-of-trade doctrine, and that this defect renders the Term Loan Guaranty unenforceable in its entirety. (Opp. at 9-10, citing *California Bank & Trust v. DelPonti* (2014) 232 Cal.App.4th 162, 167 (DelPonti); Civ. Code § 1667; *WRI Opportunity Loans II, LLC v. Cooper* (2007) 154 Cal.App.4th 525, 544.)

The Court does not reach whether the key person provision is enforceable, as Seelye's argument fails on two independent grounds.

First, the Bank did not declare default because Seelye ceased to be CEO. The March 27, 2025 default notice rests on the borrower's failure to repay the cross-defaulted RLOC by maturity. (Scheiber Decl. ¶¶ 19-20, Exh. 11; Supp. Scheiber Decl. ¶ 3.) The Bank's acceleration of the term loan was triggered by the cross-default under § 10.1(r). Even if the key person provision were void, removing it from the Term Loan Agreement would leave the cross-default trigger in place, and Seelye's liability under the Guaranty would not change.

Second, the key person provision is severable. Section 11.5 of the Term Loan Agreement provides that any provision held void or unenforceable "shall not affect the remainder of this Agreement, which shall continue in full force and effect." (Scheiber Decl. ¶ 12, Exh. 8.) Civil Code section 1599 states: "[w]here a contract has several distinct objects, of which one at least is lawful, and one at least is unlawful, in whole or in part, the contract is void as to the latter and valid as to the rest." Severance is appropriate where "the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction." (*Marathon Entertainment, Inc. v. Blasi* (2008) 42 Cal.4th 974, 996.) The overarching inquiry is whether the interests of justice would be furthered by severance. (*Ibid.*)

Severance appears appropriate here. The key person provision is one of many default triggers in a 30-page loan agreement. It is collateral to the agreement's main purpose, which was to set the substantive terms of the \$3 million term loan. Severing the key person provision leaves the rest of the agreement intact, including the cross-default trigger that the Bank invoked. The Court does not find it just to allow Seelye to avoid liability by arguing that one allegedly flawed default provision wipes out the entire Guaranty.

3. The pre-signing communications and reasonable reliance

Seelye argues that the Bank, through Jane Ho, led her and Bonnefoi to believe in the days before signing that the Guaranty would terminate if she stopped being CEO, and that her reasonable reliance on that representation bars enforcement now. (Opp., pp. 4-5, 9-11.) She invokes the doctrine of unclean hands, the implied covenant of good faith owed by a creditor to a guarantor, and absence of mutual assent. (*Id.*, pp. 10-11.)

Seelye's case turns on three documents: Bonnefoi's April 9 email asking three times whether the Guaranty would be waived if Seelye left as CEO, Ho's April 10 reply, which described an acceleration mechanism without saying yes or no to the waiver question, and the April 24 Parent Company board minutes, which recited that Seelye would guarantee the loan "as long as she is the CEO" with the loan to be "repaid immediately" upon her departure. Read together, these documents support Seelye's account that Bonnefoi and the parent company believed the deal was a CEO-tenured guaranty with acceleration as the Bank's remedy on departure. Her opposition points to Ho's "no longer the CEO and guarantor" phrasing as presupposing a future state in which Seelye is not a guarantor and points out that Ho's description of "legal process" tracks the Bank's recourse against the borrower rather than against a guarantor. A reader of just these three documents could conclude that the parties shared an understanding the Guaranty would end with Seelye's CEO role.

The problem is that these foregoing documents do not constitute the entire record. After the April 10 email exchange, Ho sent the final approved term sheet. It states that Seelye's personal guaranty is required for the loan and that the loan becomes immediately due if Seelye both ceases to be CEO and requests release of her guaranty. The acceleration trigger is conjunctive, requiring both departure and a request to be released. The inclusion of a mechanism to request release is inconsistent with automatic release. If the agreement provided that the Guaranty terminated upon Seelye's departure alone, there would be no reason for it. The term sheet was the last document sent before Seelye signed the Guaranty, and Seelye does not address it.

The Guaranty Seelye signed contains no provision tied to her employment and no provision waiving liability upon her cessation as CEO. (Scheiber Decl. ¶ 17, Exh. 10.) Section 6 includes waivers of statutory guarantor protections under Civil Code sections 2787–2855. Seelye states that she is a 20-year banking client of Cathay Bank, the co-founder of the borrower, and had previously personally guaranteed loans to the same company. (Seelye Decl. ¶¶ 2, 6, 8.) The absence of any termination or release provision in the executed Guaranty is notable in this context. Reliance on pre-contractual email language to vary the plain terms of a signed, unconditional guaranty would not be reasonable for a guarantor of Seelye's apparent sophistication.

October 1, 2024 communications are inconsistent with Seelye's position. Seelye emailed Ho that she was "no longer able to provide a personal guarantee" and asked to "discuss options." That language presupposes the continued existence of an operative guaranty. Ho responded the same day, confirming the Bank's position that any release would require an affirmative request and would likely be conditioned on early payoff. Neither Seelye nor Bonnefoi responded by claiming that the guaranty had automatically terminated upon Seelye's departure. Two days later, Bonnefoi asked the Bank how to "get Christina off the hook on the guaranty." That phrasing reflects an understanding that she remained obligated. It also came from the same individual who, according to Seelye, had previously conveyed that the guaranty would be released upon her departure.

The October emails are more probative of the parties' understanding because they were written by Seelye and Bonnefoi in real time during the dispute over release of the guaranty. The Parent Company's April 24, 2024 board minutes state that "Mrs. Seelye gives a personal guarantee to secure

the loan as long as she is the CEO of the company, and that the loan be repaid immediately in the event Mrs. Seelye leaves the company for any reason.” (Seelye Decl. ¶ 26, Exh. 3.) Those minutes reflect the Parent Company’s internal description of the transaction and are not shown to have been communicated to, or adopted by, the Bank. Moreover, by October, Seelye and Bonnefoi were communicating with the Bank on the assumption that the guaranty remained in effect and seeking its release. That course of conduct is difficult to reconcile with the April board minutes.

4. Loss of control after termination

Seelye cites no authority for this proposition, and the argument is inconsistent with basic principles of suretyship. A guarantor is liable upon the principal’s default without demand or notice. (Civ. Code, § 2807.) The Guaranty is unconditional on its face and contains no provision tying liability to Seelye’s continued employment, control of the borrower, or ability to influence its performance. (Scheiber Decl. ¶ 17, Exh. 10.) Nothing in the consideration for the Guaranty required Seelye to retain control of the borrower after execution, and the Court declines to adopt Seelye’s theory.

5. The Pre-Negotiation Agreement and claimed duress

The Bank’s reply relies on the PNA that Seelye signed after the default declaration, in which she agreed that the "Loan Documents [defined to include the Term Loan Guaranty] remain unmodified and are in full force and effect" and that she was "bound to continue to pay and perform her obligations." (Supp. Scheiber Decl. ¶ 4, Exh. 1.) The Bank argues this acknowledgment estops Seelye from contesting enforceability, citing Evidence Code § 622 and *Plaza Freeway Ltd. Partnership v. First Mountain Bank* (2000) 81 Cal.App.4th 616, 626. Seelye responds in her sur-reply that she signed the PNA under economic duress. She states that David Scheiber refused to discuss any resolution of the default unless she signed the PNA and that the Bank gave her no opportunity to consult counsel before signing. (Seelye Supp. Decl. ¶¶ 2-5.)

The Court has already found the Guaranty independently enforceable, and the PNA is one more piece of evidence to support that conclusion. Months after the default, Seelye signed a document acknowledging that the Guaranty was still in force and that she remained bound. She does not deny signing the PNA. The duress argument rests on two facts. Scheiber refused to negotiate without it and that she had no lawyer present. Seelye also expressly states that the duress question "does not need to be decided" now, reserving it for opposition to the Bank’s pending Motion to Compel a Judicial Reference. (Sur-Reply at 2-3, n.1.) The Court will take Seelye at her word. As the record stands, the PNA is evidence of Seelye’s post-default acknowledgment that she remained bound by the Guaranty.

D. Procedural Objections

Seelye raises three procedural objections to the issuance of an RTAO. She argues that her pending demurrer precludes a finding of probable validity, that the Bank’s separate suit against the borrower requires denial or a stay, and that the Bank must first proceed against the borrower’s collateral. None has merit.

1. The pending demurrer

Seelye argues that her demurrer, set for hearing on September 9, 2026, precludes a finding of probable validity because it raises challenges to the Guaranty's enforceability that have not yet been resolved. (Opp. at 9-11.) Probable validity asks the court to weigh "the relative merits of the positions of the respective parties and make a determination of the probable outcome of the litigation." (*Loeb & Loeb, supra*, 166 Cal.App.3d at 1120.) The Court has done that in section C. The Court is not persuaded that Seelye's pending demurrer should change anything, because if it did, any defendant could defeat an attachment by filing a demurrer.

2. The separate action against Maximum Entertainment

Seelye argues that the Bank's separate lawsuit against Maximum Entertainment in Los Angeles Superior Court requires denial of this application or, at minimum, a stay pending resolution of that case. (Opp. at 11-13.) She argues the case may resolve the validity of the debt, the amount owed, and any borrower defenses, and that resolving the attachment before those issues are decided risks inconsistent rulings.

It is settled that a principal obligor and a guarantor may be sued separately or jointly, at the creditor's option. (*Ralston-Purina Co. v. Carter* (1962) 210 Cal.App.2d 372, 380-381; *Rice Securities Co. v. Daggs* (1923) 63 Cal.App. 273, 276.) Consistent with this, section 6(g) of the Guaranty expressly waives Seelye's right "to require Lender to proceed against Borrower." (Scheiber Decl. ¶ 17, Exh. 10.)

Staying this proceeding pending resolution of the borrower case would also frustrate the purpose of the attachment remedy, which is "to ensure that the alleged debtor's assets are not dissipated prior to the time the creditor can obtain and enforce the anticipated judgment on his claim." (*North Hollywood Marble Co. v. Superior Court* (1984) 157 Cal.App.3d 683, 690.) If the case against the borrower ultimately reduces the amount owed or establishes defenses affecting Seelye's liability, the attachment can be modified or released at that time.

3. Requirement to proceed against collateral

Seelye argues that the Bank cannot proceed against her until it has exhausted the collateral the borrower gave to secure the Term Loan. (Opp. at 11-12.) She acknowledges that the Guaranty contains waivers but claims they are not dispositive in the attachment context, citing *DelPonti*, 232 Cal.App.4th at 167-68.

A writ of attachment may issue on a guaranty, regardless of whether the principal loan is secured, so long as the guarantor has waived the right to require the creditor to proceed first against the security given for the primary obligation. (See *Engelman v. Bookasta* (1968) 264 Cal.App.2d 915, 917-918 [where guarantor waives rights arising from existence of security given by debtor, guarantor's obligation is unsecured and creditor can obtain attachment order against guarantor]; *American Guaranty Corp. v. Stoddy* (1964) 230 Cal.App.2d 390, 396.) Section 6(h) and (i) of the Guaranty waive Seelye's rights "[t]o receive the benefit of or to participate in any and all security for repayment and/or performance of the Credit" and "[t]o have any security for the Credit first applied to satisfy or discharge the Credit." (Scheiber Decl. ¶ 17, Exh. 10.) Those waivers are authorized by Civil Code section 2856(a). The Bank is therefore entitled to a writ of attachment against Seelye if it satisfies the

requirements of section 484.090.

DelPonti does not assist Seelye. It held that a general waiver of "all defenses" does not extend to equitable defenses arising from the creditor's own willful misconduct, such as unclean hands. (*DelPonti*, 232 Cal.App.4th at p. 167.) Seelye does invoke unclean hands, predicated on the Bank's pre-signing communications and her asserted reliance that the Guaranty would end if she ceased to be CEO. (Opp. at 10-11.) As discussed above, the Court has already concluded that Seelye's reliance theory does not defeat probable validity on the record before it.

E. Proper Purpose

The Bank must show the attachment "is not sought for a purpose other than the recovery on the claim upon which the request for attachment is based." (Code Civ. Proc. § 484.090(a)(3).) The Bank holds an unpaid personal guaranty for over \$2.4 million on which Seelye is liable under Civil Code section 2807, and it seeks security for an anticipated judgment on that guaranty. That is the purpose for which attachment exists.

Seelye contends the Bank's conduct toward her is "at best, improper and, at worst, overtly vindictive," and offers three examples in support. (Opp. at 6-7.) None show an improper purpose.

First, Seelye argues the Bank chose to pursue her personally rather than first going after the borrower and its collateral. That argument is addressed in section D.2 above. California law allows the Bank to do so, and the Guaranty's waivers expressly permit it.

Second, Seelye argues the Bank's conduct in a separate matter, the foreclosure and loan payoff involving her affiliate Seebon, LLC, was "obstructionist." She describes delays in providing a payoff letter, incorrect wiring instructions, and an improper appraisal charge that was eventually refunded. (Opp. at 6-7.) Even accepting her account, conduct in an unrelated transaction does not establish that this attachment is sought for an improper purpose. The attachment statute asks whether the Bank seeks security for recovery on its claim or for some other end. Frustrations in a separate Seebon transaction, even if attributable to the Bank, do not answer that question. And even if the Bank's conduct in the Seebon matter reflects vindictiveness toward Seelye, that motive would not render this attachment improper. (See *Pimentel v. Houk* (1951) 101 Cal.App.2d 884, 886 ["On the face of the record plaintiff was fully within his rights in causing the writ of attachment to be issued and served; and the fact that he may have had an ulterior motive to destroy defendant financially did not render the use of the writ one improper in the regular conduct of the proceeding."].)

Third, Seelye argues the Bank misrepresented her continuing involvement with the borrower by using her 2023 State and IRS filings to suggest she "was actively involved in Borrower's business at all relevant times," when in fact she was terminated in October 2024 and has had no involvement since that time. (Opp. at 7; Scheiber Decl. at 11:10-13.) The Court has reviewed the Bank's evidentiary submissions, including the 2023 filings and the Bank's characterization of Seelye's involvement, in reaching the findings in sections C.1 and C.3. The manner in which the Bank's brief characterizes certain evidence does not establish an improper purpose.

The Court notes that Seelye also raises a separate concern that the attachment is premature because TRP Capital Partners, through its subsidiary Olivine Holdings, LLC, has made an offer to acquire Maximum Entertainment AB and has told her that if the offer is accepted, TRP will pay the Term Loan. (Opp. at p. 13; Seelye Decl. ¶¶ 33-35.) Seelye's statement that TRP "informed Seelye and Plaintiff" the loan will be satisfied does not identify the source of the communication, attach any writing, or come from anyone with personal knowledge of TRP's intentions. Even if Seelye's account is taken as true, a possible future payment by a third-party investor does not change the Bank's right to security on a debt that is owed today. The Bank has confirmed that if the loan is paid, the attached property will be released.

F. Property to be attached and claim of exemption

The Application identifies the property to be attached as Seelye's residence at 108 Greenbank Drive, Lafayette, California, together with all assets within the other categories listed in Code of Civil Procedure section 487.010(c). Seelye contends that the property description is inadequate, that the residence is exempt as community property held with her non-debtor spouse under section 703.020, that it is exempt as property necessary for the support of Seelye and her family under section 487.020(b), and that it is exempt from attachment under the homestead exemption.

1. The property description

Plaintiff seeks to attach all property under Code of Civil Procedure section 487.010(c), including: (1) interests in real property, (2) accounts receivable, chattel paper and general intangibles, (3) equipment, (4) farm products, (5) inventory, (6) final money judgments, (7) money on the premises, located elsewhere and in deposit accounts, where trade or business is conducted, (8) negotiable documents of title, (9) instruments, (10) securities, and (11) minerals or the like to be extracted. (See Plaintiff's Application, Schedule A at 3.)

Seelye argues that the Application's identification of property by the categories listed in § 487.010(c) is impermissibly broad and she "cannot determine what property Plaintiff seeks to attach from these improperly broad descriptions." (Opp. at 13.) She notes she owns no "farm equipment" or "minerals or the like to be extracted."

The description satisfies § 484.020(e), which requires the description to be "reasonably adequate to permit the defendant to identify the specific property sought to be attached." Description of an individual defendant's property by the statutory asset categories is sufficient under the controlling authority. (*Bank of America v. Salinas Nissan, Inc.* (1989) 207 Cal.App.3d 260, 268 [property description by asset category reasonably adequate to inform defendant what plaintiff sought to attach].) That Seelye may not own property in every category does not render the description defective.

2. The community property argument

Seelye argues that because the residence is community property held with her husband, who is not a defendant in this action, attaching the residence impermissibly affects his interests without notice or

due process, and that at minimum the Bank may attach only her 50% interest. (Opp. at 14.)

The argument is contrary to controlling authority, which the Bank correctly identifies in its opposition to the COE. Code of Civil Procedure section 487.010(d) provides that community property is subject to attachment if "the community property would be subject to enforcement of the judgment obtained in the action in which the attachment is sought." Family Code §§ 902 and 910 state that community property is liable for debts incurred by either spouse during the marriage. The community property interests of both the debtor and the non-debtor spouse are thus reachable for Seelye's debt to the Bank, whether or not the non-debtor spouse is sued.

3. The § 487.020(b) "necessary for support" exemption

Seelye claims exemption under Code of Civil Procedure section 487.020(b), which exempts "property necessary for the support of a defendant who is a natural person and the family of the defendant supported in whole or in part by the defendant." On her claim of exemption, she describes Lafayette property as her "family residence" and states: "Plaintiff cannot attach a financial statement publicly because she is in negotiations and litigation with Borrower but is willing to provide financial information for in camera review by the Court." (See May 6, 2026 COE, AT-155, p. 2, ¶ 4(c)(2).)

The burden of proof on a claim of exemption rests with the defendant. (Code Civ. Proc., § 484.070(g) ["the defendant has the burden of proof in the hearing on the right of attachment to prove that the property is exempt from attachment"].) Section 484.070(c) requires the claim to be "supported by an affidavit showing that the property described in the claim is exempt and stating the facts necessary to support the claim." And section 487.020(b)'s "necessary for support" inquiry requires consideration of the defendant's assets, liabilities, income, and expenses which Code of Civil Procedure section 703.530 requires to be substantiated by a sworn financial statement.

Seelye has not submitted a sworn financial statement, or any other facts bearing on whether the residence is "necessary for support." The only statement in Seelye's declaration touching on hardship is paragraph 41, where she states: "the attachment would impair my ability to meet personal financial obligations." This is a conclusory assertion without the foundational facts needed to evaluate it.

Seelye's proposed solution, *in camera* review of financial information, is not the proper procedure. California law provides a mechanism for shielding sensitive financial information from public disclosure, a noticed motion to seal under rules 2.550 and 2.551 of the California Rules of Court. Seelye was served with the Application on January 22, 2026, and appeared in the action on March 20, 2026. Seelye had sufficient time before the hearing on the Application to seek a sealing order.

In camera submission of evidence on which the defendant bears the burden of proof, without the opposing party's opportunity to test or respond to that evidence, is not the appropriate procedure for resolving a contested claim of exemption. Accordingly, The Court declines *in camera* review.

Seelye argues that she and her husband "need their home to live in with their son and to be able to work and earn a living, so that they may have a fair chance to remain productive members of the community." (Opp. p. 14:14-17, citing Seelye Decl. ¶ 41.) The argument misunderstands what

attachment does. An attachment lien would not dispossess Seelye or her family of the property. The attachment is merely a security device and Seelye and her family continue to live in the home, work from it, and use it just as they did before.

The claim of exemption under Code of Civil Procedure section 487.020(b) is **denied**.

4. The homestead exemption

Seelye also claims the residence is exempt from attachment as a homestead. (Claim of Exemption ¶¶ 4(c)(1), (5); see Code Civ. Proc. §§ 704.710-704.730.)

Seelye has provided no evidence allowing the Court to determine the value of the residence, the amounts secured by liens or encumbrances against it, or her entitlement to a specific homestead exemption amount. She bears the burden under section 484.070(g) and has not carried it.

In any event, Defendant's claim of a homestead exemption does not prevent attachment. An attachment lien attaches to a homestead "in the amount of any surplus over the total of the following: (1) All liens and encumbrances on the homestead at the time the attachment lien is created. (2) The homestead exemption set forth in Section 704.730." (Code Civ. Proc. § 487.025.) The automatic homestead exemption under section 704.730 does not bar attachment but instead provides protection only when a judgment creditor seeks a court-ordered sale of the dwelling. (*Reddy v. Gonzalez* (1992) 8 Cal.App.4th 118, 121-122; *Amin v. Khazindar* (2003) 112 Cal.App.4th 582, 589.) Thus, the exemption would become relevant only if and when the Bank seeks a court-ordered sale of the dwelling.

Seelye's claim of a homestead exemption is **denied** on the present record.

G. The bond

A plaintiff must post an undertaking to obtain an attachment. The purpose is to secure the damages defendant may obtain should the attachment later be found to have been wrongful. (Code Civ. Proc, § 489.210.)

Absent objection, the amount for such undertaking is \$10,000. (Code Civ. Proc, § 489.220(a).) "If, upon objection to the undertaking, the court determines that the probable recovery for wrongful attachment exceeds the amount of the undertaking, it shall order the amount of the undertaking increased to the amount it determines to be the probable recovery for wrongful attachment if it is ultimately determined that the attachment was wrongful." (Code Civ. Proc, § 489.220(b).)

Seelye asks the Court to require a bond higher than the statutory \$10,000 minimum under section 489.220(b), because the bank's claim lacks probable validity and the harm from a wrongful attachment correspondingly increases. (Opp. at 14-15.) Because the Court has found that the Bank's claim has probable validity, the statutory \$10,000 undertaking is sufficient. (See *North Hollywood Marble Co. v. Superior Court* (1984) 157 Cal.App.3d 683, 690-691.)

Thus, the undertaking is set at \$10,000.

Conclusion

Plaintiff Cathay Bank's Application is **granted**. The amount to be secured is \$2,454,662.38, consisting of \$2,426,813.38 in principal and accrued interest, \$24,848.99 in estimated attorney fees, and \$3,000 in estimated costs. The Bank is required to post an undertaking of \$10,000 before the writ shall issue.

19. 9:00 AM CASE NUMBER: C26-00466
CASE NAME: ROBERT WOODS VS. BRIDGESTONE RETAIL OPERATIONS, LLC,
***HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL RE: ARBY AIWAZIAN**
FILED BY: WOODS, ROBERT
TENTATIVE RULING:

Summary

Plaintiff's counsel, Lawyers for Justice PC, by and through Travis J. Maher, Mno M. Bogosyan, and Raffi Margossian ("Withdrawing Counsel"), filed a Motion to Be Relieved as Counsel for Plaintiff Robert Woods ("Plaintiff"). The Motion is **granted** as set forth herein. No appearance is required at the hearing on May 27, 2026.

Background

This is a Private Attorney General Act Case wherein Plaintiff brings an action against Defendant Bridgestone Retail Operations, LLC for alleged violations of various provisions of the Cal. Labor Code. On April 1, 2026, Withdrawing Counsel filed a Motion to be Relieved as Attorney for Plaintiff.

Analysis

Cal. Rules of Court Rule No. 3.1362 and Cal. Code of Civ. Proc. §§284(1) and (2) sets forth the standard and procedure to be relieved as counsel of record. The Code permits an attorney to be changed at any time before or after judgment or final determination "upon the consent of both client and attorney," or "upon order of the court, upon the application of either client or attorney, after notice from one to the other." Defendant's Counsel has complied with the provisions of this rule and statute providing notice to Plaintiff and supporting this motion with a declaration articulating the reasons for withdrawal. Specifically, Withdrawing Counsel attests that there is breakdown of the attorney client relationship, including a breach of the retainer agreement, which makes representation of Plaintiff impossible.

The Court finds that there is good cause to grant this Motion to relieve Plaintiff's Counsel. The Court acknowledges that the prejudice to Plaintiff is minimal, as there is ample time for Plaintiff to retain replacement counsel, or, in the alternative, to represent himself.

Ruling

After reviewing the papers and arguments submitted by counsel and after considering and weighing the prejudice to both sides, and reviewing the relevant statutory and decisional authority, the Court finds that there is good cause to grant the Motion of Plaintiff's Counsel to be Relieved as Counsel of Record. The makes the following orders: